

THE LANDINGS – SUMMARY & REPORT

Attorney Update & Utility Fee Model for Dam (Pond 1A) Maintenance



1. ATTORNEY UPDATE – KEY TAKEAWAYS

Attorney Stephen Chappellear (Eastman & Smith) explains that the firm's representation is limited to the Attorney General litigation and does not include representing homeowners regarding future dam assessments or HOA dues.

OPTIONS IDENTIFIED BY ATTORNEY:

- Accept the Receiver's and City's numbers for the assessment.
- Accept the Receiver's number for HOA dues.
- Have someone or someones in the development talk with the Receiver/City about the assessment and/or HOA dues.
- Retain a different lawyer to talk with the Receiver/City about the assessment and/or the HOA dues.
- Have Eastman & Smith talk with the Receiver/City about the assessment and/or HOA dues.

Attorney requests homeowners quickly determine the community's preferred course of action and identify authorized decision-makers if collective representation is desired.

FROM EMAIL EXCHANGE:

- The City and Receiver are refining which property owners will be assessed.
- An accounting of maintenance expenses and a cost spreadsheet will be provided to assist in determining appropriate dues.



2. BASIN OVERVIEW



Basin: Basin 01 (Pond 1A)



Tributary Area: 78.89 acres



Impervious Area: 31.8%



Total Units Served: 245



151

Single-family homes



94

Condominiums/
Smaller units

FINANCIAL SUMMARY (25-YEAR MODEL)

25-Year Maintenance Cost	\$899,195
Average Annual Cost	\$35,968/year
Average Monthly Cost	\$2,997/month

ESTIMATED COST PER PROPERTY (245 PROPERTIES)

Monthly cost per property	\$12.23
Annual cost per property	\$147
25-year total per property	\$3,670



The model does not appear to weight single-family and condominium units differently.

3. MAJOR COST DRIVERS

1 ROUTINE ANNUAL MAINTENANCE ~\$18,358 / year

- Semiannual inspections
- Engineering inspections
- Pond mowing
- Algae treatment
- Herbicide applications
- Erosion repair
- Administrative billing



This represents the majority of recurring expenses.

2 EVERY 10 YEARS ~\$10,520 each occurrence

- Detailed pond inspection
- Minor repairs
- Administrative oversight



Regular inspections and repairs help extend the life of the pond and reduce major future costs.

3 EVERY 25 YEARS ~\$154,748

- Sediment dredging
- Dewatering
- Excavation
- Topsoil replacement
- Reseeding
- Construction management



Largest single capital event and the primary long-term expense driving the reserve requirement.

4. OBSERVATIONS

✓ STRENGTHS

- ✓ Uses a lifecycle funding approach rather than reacting to failures.
- ✓ Accounts for engineering, administration, inspections, mowing, and dredging.
- ✓ Includes inflation/discount-rate assumptions (3.2%) to spread major future costs into a predictable monthly fee.

? QUESTIONS WORTH ASKING

- Why 245 units are included in the cost allocation?
- Does every property receive equal benefit?
- Should condos pay the same as single-family homes?
- Are maintenance frequencies based on engineering recommendations?
- Are dredging assumptions (25% sediment loss) supported by data?
- Is there existing reserve funding that could offset assessments?
- Have competitive bids validated the estimated maintenance costs?

5. BOTTOM LINE



The engineering model estimates that maintaining Pond 1A in a proactive manner will require roughly **\$36,000 per year**, funded through approximately **\$3,000 per month** in utility fees across 245 properties, with the largest future expense being a 25-year dredging project of approximately **\$155,000**.



From a homeowner's perspective, the immediate issue is less whether maintenance is needed and more whether:

- ✓ the cost estimates are reasonable,
- ✓ the correct properties are being assessed, and
- ✓ the allocation method among homeowners is equitable.